

HR Analytics Analysis

Insights & Recommendations

Introduction

A mid-to-large Nigerian corporation operating across Lagos, Abuja, Rivers, and seven other states is experiencing rising employee turnover. Leadership can see the problem in headcount numbers but cannot answer the question about workforce performance, understand employee demographics, and identify the key factors driving employee attrition and retention.

Executive Summary

The dashboard presents workforce, compensation, performance and attrition metrics for 10,000 employees. Active employees are 8,202 with an 18% attrition rate and 82% retention. Analysis indicates Customer Service has the highest attrition (22%), while Technology has the largest workforce. Average age is 33.7 years, average tenure 8.1 years, average salary 965.8K and satisfaction 3.4/5.

Problem statement

Employee attrition is a major workforce challenge that can reduce productivity, increase recruitment costs, and disrupt business operations. Without a clear understanding of who is leaving, why they are leaving, and which departments are most affected, organizations struggle to develop effective retention strategies. To address this challenge, the HR department requires a data-driven solution that uncovers workforce trends, identifies the key drivers of attrition and employee engagement, and supports informed decision-making. This project analyzes HR data to answer critical business questions, including:

- Which departments have the highest attrition rates?
- Which employee groups (job level, age, gender, salary band) are most at risk of leaving?
- How do job satisfaction and employee engagement differ between employees who stayed and those who left?
- Is there a relationship between overtime, absenteeism, and employee attrition?
- Does training contribute to improved employee performance?
- Which departments have the highest employee retention rates.
- How do performance ratings vary across different employee groups.

Business Objectives.

- **Monitor Workforce Composition:** Provide a comprehensive view of employee demographics, job levels, and departmental distribution to support effective workforce planning.
- **Evaluate Performance & Training Effectiveness:** Analyze performance ratings and training outcomes to identify underperforming departments and assess the impact of training.
- **Identify the structural and behavioral drivers of employee attrition:** Analyze attrition trends across departments, job levels, tenure, overtime, absenteeism, promotions, and satisfaction to identify high-risk employee groups and support proactive retention efforts.
- **Assess Compensation & Career Growth:** Examine salary distribution and promotion patterns to support fair compensation and informed talent management decisions.

What the data shows:

The analysis revealed the following key insights:

Workforce composition:

The organization employs 10,000 people, with 8,202 (82%) active employees and 1,798 (18%) former employees. The workforce is relatively young, with an average age of 33.7 years, and experienced, with an average active tenure of 8.1 years. Gender distribution is fairly balanced, with 54.6% male and 45.4% female employees.

The workforce is concentrated in Technology (18%), Sales (15%), and Operations (13%), which together account for nearly half of all employees. As the organization's largest departments, any increase in attrition or decline in employee engagement within these areas could have a significant impact on business performance. In contrast, departments such as Legal & Compliance (5%) and Executive (2%) have much smaller workforces, meaning even a few employee exits can noticeably affect their teams.

Most employees are between 30 and 39 years old, indicating a predominantly mid-career workforce with the potential to fill future leadership positions. This makes succession planning and leadership development important to ensure business continuity.

In terms of education, B.Sc./B.A. holders make up 42% of the workforce, followed by M.Sc./MBA holders (22%) and HND holders (14%). This reflects a highly educated workforce and provides a strong foundation for employee development and internal mobility.

The workforce is also concentrated geographically, with Lagos (28%) and Abuja (18%) accounting for nearly half of all employees, followed by Rivers (10%) and Ogun (8%). This highlights the importance of talent management and workforce planning in the organization's key operating locations.

Regarding work arrangements, 58% of employees work on-site, 30% follow a hybrid model, and 12% work remotely. The relatively small remote workforce suggests an opportunity to expand flexible work options, particularly for roles where remote or hybrid work is increasingly expected.

What this means

The organization has a stable and experienced workforce concentrated in a few key departments and locations. HR should prioritize workforce planning, succession planning, and retention efforts in these business-critical areas while continuing to develop future leaders and reviewing flexible work policies to remain competitive in attracting and retaining talent.

Performance & Training Effectiveness

The organization's performance distribution is generally positive, with 45% of employees meeting expectations, 22% exceeding expectations, and 8% rated exceptional. However, 25% of employees are performing below expectations (18%) or are rated unsatisfactory (7%), indicating that one in four employees does not meet the desired performance standard.

Performance varies across departments. Customer Service records the highest proportion of employees rated Unsatisfactory (7.0%), followed by Operations (6.2%), Human Resources (6.2%), and Finance (6.0%). In contrast, Technology demonstrates one of the strongest performance profiles, with 48.2% of employees meeting expectations, 22.6% exceeding expectations, and only 5.8% rated Unsatisfactory. These findings suggest that performance improvement efforts should be targeted at departments with higher concentrations of underperforming employees rather than applied uniformly across the organization.

Employees receive an average of 23.5 training hours per year, but training hours remain fairly consistent across all performance groups. High-performing employees receive similar levels of training as lower-

performing employees, indicating that simply increasing training hours may not be enough to improve performance. More targeted learning and development initiatives may be required.

Employee satisfaction remains relatively stable across departments, averaging 3.4 out of 5, suggesting that factors beyond satisfaction, such as role fit, leadership, and career development may also influence employee performance.

Promotion trends also show that many employees remain in the same role for longer than the organizational average, particularly at the mid-level. This may indicate opportunities to strengthen career progression and leadership development.

What this means

While overall performance is healthy, opportunities exist to improve outcomes in departments with higher concentrations of underperforming employees. Rather than increasing training across the board, HR should focus on targeted learning, stronger career development, and department-specific performance improvement initiatives to drive better business results.

Identify the Structural & Behavioral Drivers of Employee Attrition

The organization records an 18% attrition rate, although employee turnover is not evenly distributed across the workforce.

Customer Service has the highest departmental attrition (22%), making it the organization's highest-risk department. Employees with 11–15 years of tenure also record the highest attrition, highlighting the loss of experienced talent. At the job level, Junior employees experience the highest turnover, suggesting opportunities to improve onboarding and career development.

Performance also appears to influence employee retention. Employees rated Unsatisfactory (33%) and Below Expectations (31%) account for the highest attrition, while employees rated Meets Expectations (13%), Exceeds Expectations (14%), and Exceptional (14%) have much lower attrition. This suggests that lower-performing employees are more likely to leave the organization.

Analysis also shows that overtime alone has little impact on attrition. However, employees with higher absenteeism and overtime show a slightly higher likelihood of leaving, indicating possible workload or burnout concerns.

Employee satisfaction remains relatively consistent across departments, suggesting that turnover is influenced more by performance, career progression, workload, and organizational factors than satisfaction alone.

What this means

Employee turnover is concentrated within specific departments and employee groups rather than across the entire organization. Customer Service, Junior employees, long-serving employees, and lower-performing employees represent the highest retention risks. HR should focus on targeted retention strategies, stronger performance management, career development, and early interventions to reduce avoidable turnover.

Assess Compensation & Career Growth

The average monthly salary is approximately ₦965.8K, with salaries increasing steadily across job levels. As expected, Executive employees receive the highest salaries, reflecting organizational hierarchy and responsibility.

Promotion patterns show that most employees are promoted within their first three years, after which promotions become less frequent. The Mid-level workforce experiences the longest average time since the last promotion. This is particularly important because Mid-level employees make up the largest share of the workforce and represent the main pipeline for future Managers and Executives.

When viewed alongside the higher attrition among employees with 11–15 years of service, the findings suggest that career progression may slow as employees become more experienced, increasing the risk of losing valuable talent.

What this means

Compensation appears to be aligned with job level, but career progression slows for many experienced employees, particularly at the Mid-level. HR should strengthen career development, succession planning, and internal promotion opportunities to retain experienced talent and maintain a strong leadership pipeline.

Recommendations

- Focus retention initiatives on Customer Service, where attrition is highest (22%), through manager coaching, workload reviews, employee recognition, and career development programs.
- Create clear career pathways for Mid-level and long-tenured employees (11–15 years) by increasing internal mobility, leadership development, and promotion opportunities to reduce the risk of losing experienced talent.
- Shift from standardized training to role-specific and competency-based learning that addresses department-specific performance gaps and measures training outcomes.
- Provide targeted coaching and performance improvement plans for departments with higher concentrations of Below Expectations and Unsatisfactory employees while recognizing and developing top performers.
- Monitor key HR metrics including attrition, performance, promotions, absenteeism, overtime, and employee satisfaction through regular dashboard reviews to identify risks early and support data-driven workforce planning.

